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Gentera SAB de CV (GENTERA.MX)

Q2 2025 Earnings Call

MANAGEMENT DISCUSSION SECTION

Operator: Good morning and welcome to the Second Quarter 2025 Gentera's Conference Call. Now, I would like to turn the call to Mr. Enrique Barrera, Investor Relations Officer of the company. Sir, you may begin.

Unverified Participant

Good morning. Thank you all for joining us and for your continued interest in Gentera. I'm Enrique Barrera, the company's Investor Relations Officer. I'm very pleased to introduce our management team. With us today are; Mr. Enrique Majós, Gentera's Chief Executive Officer; Mr. Mario Langerica, Gentera's Chief Financial Officer. Enrique Majós and Mario Langerica will present their results for the second quarter period as per the report that was issued yesterday. And we'll actively participate in the Q&A session of this conference call.

As a reminder, now that you are holding – now that we are holding our conference call via Zoom, it is important to highlight that if you want to ask questions during the Q&A session, this will only be taken if you are connected via Zoom. Now, please note that during this presentation, Gentera may make forward-looking statements. This do not account for future economic circumstances, industry conditions, company performance or financial results. If you did not receive the – a copy of the release or if you have any questions, please do not hesitate to contact our Investor Relations department in Mexico City.

I would now like to turn the call over to Mr. Enrique Majós for his presentation. Enrique, please go ahead.

Unverified Participant

Good morning. Good morning, and welcome to our second quarter 2025 report. We really appreciate your interest. And I know that you have been very close to Enrique and to Mario, especially in the last quarters. And we – we really appreciate that you are interested in our operation and now in our second quarter results. So thank you for being here. As you read in our report released yesterday, Gentera closed another quarter with outstanding results. And as you can see, all of our subsidiaries are having good performance and healthy growth.

Just to give you some highlights and relevant points, let me tell you that Banco Compartamos in Peru is recovering momentum with a good asset quality. And in the last 12 months, it grew by 10% in clients and 8% in portfolio in local currency. Banco Compartamos in Mexico continues growing strong and increasing its position in the market. And while portfolio growth in Banco Compartamos stood at 22% and in clients reached 3.3 million clients, which represents a growth of 6.5%. And ConCrédito continues growing strong and solid, with an annual portfolio growth of 20%, we are now fully present in all the 32 states nationwide.

This happened just a couple of weeks ago in Mexico, with the presence in 195 cities in Mexico. CrediTienda, as you know, is ConCrédito e-commerce platform has experienced an important growth this year with a product offer close to 4 – 40,000 products in appliances in Mexico and 16,000 products in Peru. CrediTienda increased is – its income by 90%, if we compare it with the second quarter 2024. And the global consolidated NPLs for Gentera ended the quarter at 3.32% and remains below the range of 3.5% and 4% that we have defined as our healthy threshold.

And also the cost of risk is below the 13% that we originally guided at the beginning of the year. Our insurance business had an outstanding 32% growth in terms of intermediated policies, and we ended the quarter with 17 million active policies. And an outstanding figure this quarter is GENTERA's counted as net income growth. It – if we compare it with the first semester of 2024, net income shows an annual growth of over 50%. Mario will provide more precise information about the main lines of contribution to this growth.

And also very important, we closed the second quarter with 5,991,000 people served. We are very, very close to reach the 6 million customers in GENTERA, which is, by the way, a very, very relevant milestone that shows our commitment with the purpose of the organization reaching a larger number of clients contributes to accomplish our social purpose, which is to be present in our customer lives, to reach their dreams. Based on this results, and as we already anticipated in our last call, the quarter, we are adjusting the guidance that we gave you at the beginning of the year.

Well, we are remaining our guidance in terms of portfolio growth. EPS guidance will increase as much as 10%. And before getting into further financial details, I would like to talk about the main elements and strategic actions behind the outstanding results that we have been delivering since several quarters now. I would like to start by making a quick recap of some of the main messages that we have been communicating since our fourth quarter 2024 report. So as you can see in this slide, in our fourth quarter 2024 report, we pointed out that since we started our transformation plan in 2019, net income dramatically grew even having the COVID crisis in between.

While in the 10 years before 2019, GENTERA grew 6.5% annually in average, our modernization initiatives started to clearly show good results. And in the past five years, compounded annual net income grew more than 14%. Then in our first quarter report of this year, we explained that we have improved customer experience and we have captured businesses and efficiencies through more than 300 initiatives related to processes improvement, digital payment capabilities and the use of data to make better business decisions based on utterance and data analytics.

Some of these initiatives have been deployed very recently, but some others have been adding incremental value for more than two years now. As the result of this transformation plan, we have had significant positive business results in the past three years. Our client base has grown 12% annually in average, and portfolio annual growth has been 18% in average. Our NPLs has remained below 4% threshold. The – which is the – the level that we have defined as a healthy range and GENTERA's efficiency greater, has improved from 69% to 64%.

Also, our ROE has increased significantly. A relevant question that we have been asked is, which are the main factors that contributed to this results? Well, there is no doubt that there are a whole set of reasons to explain these results, and we can group them into four main factors. The first one is that over the years, we have learned that any business decision has to be made based on customer needs. Customers are the reason why we exist and if they are satisfied, everything will work and improve as a consequence.

Second, since every – several years now, we have been building capabilities to make business decisions based on hard data and not only based on intuition or very limited information. In the third place, we have been improving our product offer and cross-selling strategies. Digital data and algorithms have contributed to implement these strategies in a more efficient way. And finally, we know that collection is a fundamental piece of our business model. And through data and predictive analytics, we have been able to better manage the good quality of our portfolio. So now, let me finish by talking about the next milestones in terms of our modernization and transformation plans.

We will continue to deploy the group lending and individual lending digital platforms to manage our credit processes. Last year, we finished deploying our GALPA platform in Peru for both methodologies, individual and group lending. And this quarter we just finished deploying the individual lending platform in Mexico. The next milestone regarding to the credit process platform is to fully deploy the approved lending methodology platform in Mexico, and this will happen by mid-2026.

In terms of digital payments, Peru is now very strong with the use of mobile banking application is – and with BIM, which is our e-wallet application. And in Mexico we are also working in our digital channels to have an improved digital payment ecosystem by the end of this year. We will continue growing and consolidating ConCrédito's business through two main products, ValeDinero, which is the traditional ConCrédito product, and CrediTienda, our e-commerce platform. And of course, through the use of digital technology, we will continue improving our risk assessment process and cross-selling algorithms since there is still plenty of room to capture more value there.

Now, before I turn the call to Mario, as I already mentioned, we are increasing our EPS guidance as much as 10%, so our new EPS guidance stands between MXN 5 and MXN 5.15. Our portfolio growth guidance remains between 13% and 16%. However, we believe we will finish the year closer to the high end of this range.

So yeah, thank you. Thank you for your attention and I will now turn the call to Mario, who will provide more context on our financial results. And afterwards we will have our traditional Q&A session.

Unverified Participant

Thank you, Enrique, and good day to everyone. As always, we appreciate your interest in GENTERA. As Enrique mentioned in his remarks, we are very excited with the extraordinary progress that we have been achieving in the modernization transformation of GENTERA, which has allowed us to generate historic and solid results as the ones we are presenting for this first semester of the year. And we're very excited with the positive dynamics and prospects that we're seeing for the second semester and going forward.

By second Q 2025, we reach a historic record of 5.99 million people using our financial services, adding almost 600,000 people on a year-to-year comparison, representing an 11.1% growth compared to second Q 2024. The modernization initiatives that we have describing the past years and the benefits coming from them have allowed GENTERA to reach a new record few of our long portfolio of MXN 83.7 billion, representing a 21.6% annual growth compared to second Q 2024. It is important to highlight that in Mexico, both Banco Compartamos and ConCrédito have maintained annual growth above 20% in their specific loan portfolios.

In Peru, we have renegotiated loan portfolio growth, improving operation, asset quality and profitability levels. As Enrique mentioned before, we expect to grow the consolidated loan portfolio for GENTERA around 15% for 2025. Now, let me jump to talk about the evolution of the different lines of our income statement. In second Q 2025, GENTERA's interest income amounted to MXN 11.8 billion, with a solid 21.8% growth compared to last year.

Even after the growth in our portfolio, Financing expenses have a marginal increase of 1.7% compared to second Q 2024, mostly driven by the reduction of reference interest rates in our liabilities. Therefore, net interest income grew 25.7% and NIM improved to 40.9%, which is above our expectations for a – at the beginning of the year. For the first semester 2025, NIM stood at 40.2%, and we believe that there is still some room for improvement, and we expect to finish the year with NIMs around 41%.

As we have also highlighted before, we keep observing stable asset quality in Mexico and continuous improvement in Peru. GENTERA's consolidated MPLs amounted to 3.32% and cost of risk to 12.7% in the – in this quarter. For the semester of – for the first semester of the year, cost of risk amounted to 12.2%, compared to 12.1% in the same comparable period last year. We now expect to have a cost of risk around 12.5% by year end, which is better than the 13% originally guided. GENTERA's second Q 2025 provisions for loan losses amounted to 2.65% at 15.8% growth, which is an adequate increase consider – considering a larger loan portfolio growth and its mix.

NIM after provisions for second Q 2025 amounted to 29.8%, compared to 28% in second Q 2024, which is also better than our original expectation for 2025. And we expect to close the year moving around 30%. Net fees amounted to MXN 1.4 billion in, compared to MXN 1.01 billion in second Q 2024, representing a 52.3% annual growth. These fees, as explained before, have been mostly driven by better than expected results of our insurance business that represented around 90% of the collected commissions.

We now expect net – net fees to grow around 25% for the year. Operational expenses amounted to MXN 5.75 billion, representing a 22.3% growth compared to second Q 2024. This row is mainly explained by a larger base of employees, the variable compensation associated to the solid growth of our business, and with the strategic initiatives and in an investment that we're making to – that are helping GENTERA to be more productive, efficient and profitable.

Therefore, we expect expenses to grow around 19% for the full year, higher than the 15% originally guided. These additional expenses are productive expenses and are mainly associations – associated to the sales process and incentive programs. So they have a multiplying effect in revenues. In second Q 2025, net income amounted to MXN 2.108 billion, growing 63% compared to second Q 2024. GENTERA's controlling participation of net income amounted to MXN 2.105 billion (sic) [MXN 2.105 million] (00:17:48), representing an EPS of 1.32%, 77% above the same period in 2024.

As of June 2025, net income amounted to MXN 4.329 billion, the highest six months number in our whole – in our history. As Enrico previously said, and after these strong results, our new EPS guidance for this year will be MXN 5 to MXN 5.15. In the midpoint, around 32% higher than our 2024 EPS of MXN 3.8. GENTERA's controlling ROE for the second quarter amounted to 25.9%, above our original expectation for the year, and for the first semester it stood at 26.3%. After this strong performance, we now expect that GENTERA's – GENTERA's controlling ROE for the year will move around 24%.

All of these great results have been achieved maintaining very solid and healthy liquidity levels. The strong and diverse access to funding sources and our very robust capitalization. To conclude my remarks, as you have seen from our first semester results, we have been delivering us progress and we expect to continue obtaining double-digit growth in GENTERA's loan portfolio in the coming quarters, while generating solid growth in total revenues, with healthy cost of risk and operational expenses growing below total income to keep generating positive jobs. That should also allow us to keep generating strong levels of profitability.

That is all for my remarks. Thank you for your attention. And now we can move forward to the Q&A session.

QUESTION AND ANSWER SECTION

Operator: Thank you. We'll now be conducting a question-and-answer session. [Operator Instructions]

A

Our first question comes from Ernesto Gabilondo of Bank of America. Please, sir, go ahead.

Q

Thank you. Hi. Good morning, Enrique, Mario and Enrique. And thanks for the opportunity to ask questions. Congrats on your results. Contrary to other bank trends, you are showing double-digit loan growth, good asset quality, strong capital ratio. And on top of that, you are increasing your guidance pointing for a strong earnings growth. So congrats again.

My first question will be on loan growth. If you can elaborate on why you feel comfortable to keep growing the loan book at double-digit. You shared some of your recent strategies in terms of the digitalization and all the technology that you are putting in place. But maybe you can talk also about the weakened competition in the microfinance sector and the entry barriers for fintechs to enter your segment given that the low income segment is still very cash intensive.

And my second question is on your capital management, you deliver a common equity Tier 1 ratio of 38%. So just wanted to – to – to see if you are thinking something on the success of – of capital usage. Thank you.

A

Thank you Ernesto. Yeah, very interesting questions. I will address the first one. And, yeah, let me just confirm you that the growth that we are looking at for the future, not only the second semester of this year, but the next years, has to do with the strategic initiatives in the strategic plan that we have been following and defining this in several years now, as I described in my remarks. Basically, those initiatives are the foundation for the future growth as you already explained in your question.

So, yeah, we believe that the digital data, the use of technology combined with our human touch and the contact and trust that we have being present in the communities with our customers are two or three – the two main elements that will build the, let's say, new hybrid model for the future for GENTERA and its subsidiaries. So yeah, that's – that's mainly the main fundamentals for – for the – our vision for – for the future growth.

The – the other part of your question I – I – I thanks – thank you for asking it because I believe that for the last maybe two or three quarters, the – the – the competitive environment has been a question that we have – you have been asking and we haven't given you maybe the – the whole context and information about this. So let me dedicate maybe five minutes to this topic at this point. Talking about our competitive environment. First of all, it is – it is important to define that we are in the segment C and D of the population.

So when we talk about players and the institutions which we – we compete, we have to consider that we are addressing the C and D segment of the population. And we compete in three different sub-segments of this C and D part of the population. Three sub segments of credit products. The first sub-segment is the working capital lending products, that is identified as a group lending methodology products that we have.

The second subsegment is the working capital with individual lending methodology that as you know, these are businesses that need working capital loans, but they are a little bit more established and more formal. And then you have all these consumer credit products or this consumer business market. So I will talk about – about this three and what is our position on each of these three ones.

In the working capital lending products with our group lending methodology, we are the leaders in a group of, let's say about 10 main competitors. And while we have around 3 million customers here in Mexico with this product, the second place, which is credit group, has around 200,000 clients. So, so clearly we have around the 70% of the market share there. Talking about the – the institutions that offer this kind of product for this kind of need, which is working capital products for very small and informal businesses.

The second segment is the working capital within the individual lending methodology, which are a little bit more bigger businesses. And with 280,000 customers that we have in Banco Compartamos, we are the leaders from a group of six relevant players there. The second and third place are Caja Popular, Mexicana and Provident, with 200,000 customers and 150,000 customers. And we have around 30% of the market share there.

So as you can see in those first two subsegments, we have a relevant position. But the potential market there in the need that the market has for this kind of product is huge. So we have not only the potential market to keep on growing, but also the strength as an institution, as a leader institution to continue capturing this – this market. If we talk about consumer credit products, we are talking about a different group of players here. Here in – in the case of GENTERA, we compete with ConCrédito's products, which are ValeDinero and CrediTienda, and we estimate that we have only 3% of the market share of – of what is out there addressed by all the institutions that are focused in the C and D segment and in the consumer lending arena.

Here we find Banco Azteca and BanCoppel, obviously, which are very strong, and we also find some other players with the same business model than ConCrédito. And here also we find the fintechs. Fintechs are also mainly focused on the consumer lending market. However, most of them are addressing the A and B segment. There are others that might be want to address the C and D segment. However, these others are still very small and they haven't proved yet a business case.

Talking about the big ones. The big ones, the fintechs. We identify six relevant players that are pretty big. One of them is Nu. The other is [ph] (00:27:51) Tori. We have [ph] (00:27:52) Klar. We have Hey Banco. We have [ph] (00:27:56) Walla, and we have [ph] (00:27:57) Plat. At this point, these companies are addressing the A and B segment. They are not addressing the C and D segment.

I will talk about our strategy in terms of our competitive position. But before that, just let me give you the context for Peru. You know, in Peru we compete with very strong players in the working capital, individual lending products. And we have 7% of the market share in a list of more than 20 institutions holding the position number six, after institutions like Mibanco, [ph] (00:28:34) Arequipa, [ph] (00:28:35) Juan Carlos, [ph] (00:28:36) Piura, Caja Cusco. And – and this is in the individual lending products.

In the group lending product, we hold the number one position and we know that there are some players that have started to offer these products, but they are still very small. Now, having told this, our strategy in terms of our

competitive position is, one, to remain our leadership in the working capital loans for the C and D segment, and we have the products, we have the experience, we have the contact with the clients, the trust of the market to do so. The second is to address the consumer loan segment through the product offer that we have in ConCrédito, which we believe has a lot of potential. And it's growing, as you can see in our results.

And obviously to continue developing our digital capabilities to migrate to a solid hybrid model, we are making all this transformation initiatives to have stronger digital capabilities and to make or to build a more convenient customer experience combined with human touch and obviously maintaining the trust of our customers and very important, maintaining our collection capabilities. We believe that talking about fintech business models, talking about digital business models, maintaining a strong connection and contact with customers is very important because that's the way you have a new build, strong collection capabilities.

And we believe that if we keep on working on that, we will not only be leaders as we are with the actual products and, and – and product offer, but we will also be able to evolve our product offer, digital product offer to compete in the future. So that's basically how we see this. And based on this is, that we see that we have a lot of growing potential in the future. If we do and we execute well the strategy that we have.

Q

Oh, wow. This was very, very, very helpful, I appreciate it. Thank you very much, Enrique.

A

You're welcome.

A

Your second question on – on – on capital strategy, as we have said in the past, our – our first objective is to have sufficient capital to support our organic growth. And, and as you have seen as and as we have said and with this, a very deep explanation of Enrique, we expect to maintain important growth organically. So – so – so that's the first use of – of capital that, that – that we will always have on. And I always have that.

The second one is as – as Enrique said, there are a lot of different products and financial services that, that the base of the pyramid needs. So a we will be analyzing also if there is any opportunity to close these gaps inorganically. But we will be obviously very, very, very selective and at that could also be a second source of – of – of the use of capital, always – always following our strategy. As – as Enrique mentioned.

The third, is obviously also to maintain a stable and very well communicated dividend payout policy. And as – and as you have seen, we have been trying to do that for – for several years now, and that's why we have the 40% payout policy that in principle we want to keep. But – but as you have seen, capital accumulation is growing. So a – a – and fourth, possible use of capital in the future if we keep accumulating capital and – and we have been able to achieve the first three objectives, it could potentially be at some point a review of the dividend policy, but that it's not at this point in – in the table. But that is how we see capital management.

Q

Any buyback program?

A

That would be part of the fourth. But we typically prefer to go directly to in dividends directly instead of buying out.

Q

Now, excellent. Thank you very much and congrats again in your results.

A

Thank you, Ernesto.

A

Our next question comes from Yuri Fernandes of JPMorgan. Please, sir. Go ahead.

Q

Thank you all. And also congrats. Very good results. And this is not like – just a bit right, this has been a series of bit. So congrats on that. I have just a question regarding your shareholders equity. That will not like a drop this quarter. Right? And – and even considering the dividends that you announced, the – the drop was bigger. But considering the – the earnings growth in the quarter, the dividends. So just checking what's happened here, my guess is congrats to acquisition. But I would love to understand the explanation why the equity drop here and not how do you move it up.

And a second question I have is regarding margins. Many, many times we heard you saying that you could share part of the profitability with clients. And this quarter we – we saw the benefit from lower rates. Right? Like your NIM moved up. So my question here is to understand what should we expect for NIM – to the NIMs. You know, remain where it is through the continue to see a better benefiting and, you know, kind of keeping the NIMs moving up. Or should we see, you know, your NIMs eventually trending down as your share part of this profitability with – with client? Thank you very much.

A

Thank you very much, Yuri. Yes. Well, the – the capital effect that, that you mentioned, it's – it's very easy to explain it. One is the dividend, as you said. The second, it's the premium in the stock acquisition of the 25% of ConCrédito, that basically represented around \$580 million. And that basically is the – if you want the equivalent to – to the goodwill, but the goodwill you cannot affected directly is because it's a number that is given by the acquisition.

But the – the account where you put this additional cost over – over book value, it's at the line of premium on sales of stock and that it's \$575 million and the rest is the – the – the OCI basically. No. And as you know OCI are

unrealized mark to market effects. So those are like the three components that have this effect on equity. So they're pretty normal. So we don't worry about that. Regarding the profitability. Well yes as I just said, and we're seeing that maybe for the rest of the year ROE would probably be 24%.

And as we have said in the past, we are going to – we are – we have already started an analysis on how these incremental profitability can be shared going forward between our shareholders, our clients and our employees. And a probably we will have a – we're working on that analysis, and – and probably we will give you specific plan when we announce 2026 plan in – in February next year.

So we're working on that and – and we will provide you an answer as – as – very soon. And specifically NIMs obviously NIMs this year I already said what we expect and the future NIMs will depend on these new actions that we take going forward.

Q

So thank you. Thank you very much, Mario. If I may, just to follow up on the first one. In the past congressional acquisitions, we saw your Goodwill line moving up. Right? And why this time was different? Why this time was not goodwill and was other acting back on – on that? And sorry for my ignorance here, just trying to understand a little bit better.

A

No, I mean by – by accounting rules the the place where you add any incremental value of book value is in this account different to what you book at acquisition, which is at the Goodwill account. So it's just accounting rules.

Q

Okay. Thank you very much. And congrats again.

A

You're welcome.

A

Thank you, Yuri.

A

Our next question comes from Luis Brian Flores of Citi. Please sir. Go ahead.

Q

Hi, team. Thank you for the opportunity to ask questions. I have maybe a quick follow up here on Yuri's question. I think it's a good question. The delta inequities actually MXN 1.2 billion downwards. Right? So you – you mentioned Mario, an impact of MXN 575 million. To be very frank with you, I thought the answer here was coming more from the funding side.

So I wanted to ask you on the funding side, actually. We saw an increase in long term notes. That was significant quarter-over-quarter. And I just wanted to ask you on, how are you thinking about that? Because you provide a table in the – in the press release with a decrease in funding costs. That is significant. Right? And I think banking cost expectations for the changes in rates are still for some changes downwards. But I just wanted to – to check with you. How are you thinking about positioning yourself and the balance sheet for maybe 2026? No, because I think that is an interesting question.

And then a second one, just a quick follow up. You mentioned in the opening remarks you feel confident on achieving the upper side of the guidance, and you said specifically growth. Can I confirm with you if this is only growth or this includes also the MXN 5.15 per share in – in net income or in EPS? Thank you.

A

Okay. Yeah. Well, regarding the funding structure, as – as – as we have said in the past, it's very important for us to keep a very strong capital level in order to be able to achieve the very strong ratings on – on our debt funding and for – for the future, we are going to keep that balance. We have been having very good access to funding with different news sources and new – new ideas. Enrique Barrera manages that also, and he have done a tremendous job obtaining funding for the different subsidiaries and together with our CFO, Southern Peru and ConCrédito, we have – we have been doing a great job there and we expect to keep this balance between equity and liabilities going forward.

And obviously, we're seeing also a positive effect on the reduction of rates a couple of years ago or – or a little bit more, we started taking a variable rate funding to take advantage of this expected reduction in rates. And that is – that has been playing well, as you have seen. And in this business plan that we have for this year, we still have an 8% in Mexico. So at that line, we may see some other are – potential improvements if rates come down. But we think that going forward, what we should be looking is that we keep these very strong capitalization and – and liability management.

And when we said the high end of the guidance, we refer to the portfolio between 15% and 16% as Enrique said, and EPS was we are giving the range, but we still have to – to – to – we will keep it at the midpoint if you want now and trying to deliver within that range.

Q

Yeah. Perfect. Super clear. Thank you, Mario.

A

Our next question comes from Tito Labarta of Goldman Sachs. Please sir. Go ahead. J\

Q

Hi. Good morning. Thank you for the call. I'm going to congrats also on – on the results in a very strong quarter and the guidance. My question I guess on, on asset quality you know very good trends there. You mentioned on the cost of risk. You expect around 12.5% from the 13% before, I guess. Just do you think there's room for asset quality to improve any further from here?

And when you think maybe a little bit longer term on the cost of risk, is this roughly 12.5%, is this sort of a sustainable level that that we should think about maybe longer term, or will – will the mix impact any more from here? And then I guess similarly in terms of your profitability right around that 24%, you know, very good levels, but do you think that's also a sustainable level for – for the next few years, you know, given all the investments you've done in the business? Thank you.

A

Yeah. Thank you, Tito. Well, yes, the improvements in asset quality are very interesting. And – and how that is going to play going forward, it's also very interesting. But let me tell you first of – refresh what Enrique said at the beginning. A very important driver of improvement in asset quality, it's all of the investments that we have done in that analysis in efficiency, using technology, better tools and – and as – and as Enrique said, and we have said a big, big goals and we have this quarter was to get full digitalization for individual lending in Mexico, which is now nationally deployed, and it's bringing a lot of improvements in asset quality.

So I would say that first thing is that, these improvements are bringing a very good level of stable asset quality in all of the products. So now the second is the mix. If we have a better asset quality both in group lending and individual lending, both in Mexico and in Peru, that obviously will be important for the future projections of asset quality. And, and we believe that at – at this point, the 12.5% is very, very – well, very, very strong.

And obviously in the next year when we give you the future plan, we will talk about what to expect for 2026 and going forward. And regarding profitability, as you have seen, the profitability fits with the different license net income. So we're seeing positive trends in all of them. Number one interesting income is growing. Number two, interest expenses are keeping a stable with the benefits of the reduction on rates and – and we – and the liability, a management strategy that I just talked about.

Then also asset quality will play the role that I just said. And then the fees will keep growing a little faster rate than – than than the portfolio and expenses, even though they – now will be a little higher than – than originally expected, we still always maintain the rule of positive jobs. So all of that gives you the – the – the storytelling of the net or the interest of the of income statement on why profitability – efficiency, profitability, and productivity can – can keep coming.

Q

Okay. Now, that's clear. Thank you Mari.

A

Our next question comes from Carlos Gomez-Lopez of HSBC. Please, sir. Go ahead.

Q

Hello. Congratulations again and thank you for taking the question. And a follow up on the Goodwill from the acquisition of minorities. So if I understand correctly, that goes directly to equity. So essentially it is as if you have written off the Goodwill as you acquire it. You get a bigger element in the – in the equity and that's why the equity declines. And we also see the minority line decline and that is a permanent effect. Is that correct?

A

Yes.

Q

Yeah. And then, so minorities, that means the minority income which has been significant, obviously it's proportion of ConCrédito now has become much smaller. We should also expect this number to be minimal going forward. Is that correct?

A

Well, that is – that relates specifically to our partnership 50% with – it's a protection for – for – for Aterna.

Q

Well, that's for Aterna. Okay. So, so this quarter was particularly low. But in the future we should go back to similar levels or?

A

If it – the – the way to see that is, the – the net income that we expect for Aterna for the services it provides a 50% of that on an annual basis goes to our partner.

Q

Okay. So this – this should actually be a growing number going forward because you're...

A

Yes.

Q

you are...

A

Yes.

Q

... you are selling well in Aterna.

A

Yes. Yes.

Q

Okay. So okay, but – but I mean this – this is a bit choppy. Right? Because the first quarter was MXN 115. And now if I see correctly you, you have almost zero in this quarter.

A

Yeah.

Q

Okay. So for the year...

A

That's correct.

Q

For the year as a whole you had 460 lakhs here, so – so for this year, what will be a reasonable number?

A

Yeah, something around MXN 600 for a capital bid, you know, 200 for that line. Yes. More or less.

Q

Okay. All right. And then my last question. Your average loan in Mexico has gone up in value by 15%, which means that there is more indebtedness on your consumers. I mean, we have discussed this in the past. How much further can this go? How much more can you grow the the average size of the loan without the parallel growth in the economy, employment and income?

A

Well. That is how it's – that comes much more from the mix. Moving to individual lending that we're growing at 50%, you know, more or less. And annually above – above the growth of – of – of good lending. So that's – that's what main driver of – of that change in – in average loan.

Q

Okay. And that shift in composition you expect to continue in the coming years?

A

Yes.

A

Yes.

A

Yeah. And just to give you some numbers here, Carlos, the portfolio growth in an annual basis. And I'm talking about Mexico and Peru all together. The growth for group lending methodology in portfolio, it was 13% while in the individual portfolio was almost 30%. So that's the change of – of mix that Mario is referring.

Q

Okay. Thank you very much. And congratulations again.

A

Thank you Carlos.

A

Thank you.

A

Our next question comes from Pablo Ordóñez of GBM. Please sir. Go ahead.

Q

Yes. Hi. Good morning, Enrique, Mario, and Enrique. Congratulations on the results. Can we talk a little bit about Peru? We continue to see ROEs a very good, 22%. Correct me if I'm wrong, but we started the – the year with the expectation of mid-teens. So what levels? What – what's – what's improving here? What levels are we? You – do you think that are sustainable in Peru? Also in ConCrédito last year we had a rise of 25%. We continue to – to see an improvement here. So you can talk a little bit about what sustainable – sustainable levels of ROEs for these two subsidiaries? Should we expect in the coming quarters. Thank you.

A

Thanks. Thank you very much. Yeah. Well, yes, I a very, very good – very good news have come from Peru. Mostly from the asset quality. And that has allowed us to start growth again. And with the results so far give us confidence and trust to keep growing a little faster. Controlling always asset quality. So – so now, yeah, and maybe we – that one specifically we – we could – we should change it from 15% to maybe 20% ROE for Peru this year in local currency.

So – so that would be great because that was one of the – of the objectives that we have if you want to mid – mid mid-term. But now we're seeing the – the – the possibility of – of – of reaching that milestone of 20% in Peru by the end of the year. And, well, yeah, ConCrédito. Well, ConCrédito is performing very well and – and we – we talk a little bit about that when we announced the – the remaining acquisition and – and – and ConCrédito will also keep delivering ROEs above probably 25% for the year.

Q

Thanks, Mario. And a quick follow up on Carlos question. On your growth guidance for the – your loan portfolio and the mix, what are you expecting for individual methodology and for the group methodology?

A

We don't have. A mix objective, but there are different products that are different segments. So we want to keep growing both group lending and individual lending as much as – as I demand drives. And – and we don't have like you know, a mixed target. We – the good thing is that both products are profitable, that both products are very well priced. That both products serve different segments. So – so the mix will be viewing year-by-year what we should expect for it – for each year [indiscernible] (00:51:59).

A

Yeah. And Pablo, just maybe this – this will help you. But if we talk about – specifically about Peru and we talk specifically about portfolio growth, group lending portfolio grew in the last year 16%, while individual lending grew 5%. So that gives you an idea of the potential looking at the future.

A

Yeah. That combination of in Mexico growing individual lending faster and in Peru growing group lending faster will have these effects on mix that we will be giving you the guidance every year more or less how it will be going develop.

Q

That's very helpful. Thanks a lot, guys.

A

Our next question comes from Rodrigo Ortega of BBVA. Please, sir. Go ahead. Rodrigo, please deactivate the mute of your microphone.

Q

Hello? Can you hear me, guys?

A

Yes.

A

Yes.

Q

Sorry. Sorry about that. Thanks for the opportunity to ask questions. I guess it's quite – quite a quick one. It's obvious that with the kind of ROEs that we're seeing, risks are more than adequately priced. However, looking at asset quality in ConCrédito of around 25%, it's still a little bit itchy to me. So I guess my question is, is can you elaborate on the kind of cost of risk levels that we should see in ConCrédito and Peru over the long-term? My parameter is obviously that you have done a remarkable job in maintaining cost of risk in the low-teens at compared to times Mexico, while growing at the at mid to high-teen rates. But how about the other two?

A

Well, yeah, very good question. And it has to do with the products and the countries. No, so, well, you know, we have talked about at the bank. So in terms of cost of risk for Peru, we expect that this year we could be in levels of around 11%. And that has to do also with the mix that we just explained within as Enrique said, and – and – and also we will see the specific dynamics of risk in Peru that are marginally different than in Mexico. But that is very important for us to keep.

But if you want, both are the same products and we can keep track of those two products in the different countries. ConCrédito is a little different. ConCrédito the – the products that we have there, have a different profile, different segments, and we feel comfortable with – with the high level of custom risk of ConCrédito because it's well priced and we can make the – the profitability that we want after cost of risk.

Obviously a key – a key – a key objective for whole GENTERA is to keep improving asset quality in the long run. But – but it's important to understand that – that there are each – each product is different and each country is different. But we feel comfortable where we are. And – and for next year, we will provide you also what our expectations for cost of risk for the different subsidiaries.

Q

Thanks very much. So I mean with – when you say your comfortable with customers, that is high. Obviously the range is wide because we're talking about a range of 22%, maybe 30% for ConCrédito which is quite high, but again, adequately price as as you – as you say.

A

Yes.

Q

So should we think that this is the way it should, or we should expect it to remain over the I mean, structurally speaking, over the next 5 years to 10 years.

A

Well, and that – that is a long – yeah, a long job, but 25%, you should take as a – if you want the structural cost of the business we run in ConCrédito and a – for next year, that would be a fair assumption if we find ways to improve that, improving data intelligence analysis or whatever, that's part of our job. But at this point you should keep it up 25%.

A

Yeah. And the point here is that, we are talking about the future, let's say two to five years from now, we are going to address different markets. We might be also building different distribution channels, which will have naturally different level of risks. So we cannot answer that at this point. But I think that taking what we have now, it's a good baseline.

Q

Thanks a lot, Mario, Enrique.

A

Thank you very much. You're welcome.

Operator: [Operator Instructions]

A

Our next question comes from Daniel Miranda of Santander. Please go ahead.

Q

Good morning, Mario, and both Enriques. Thank you for taking my question and congrats on the results. Just a quick follow up on Carlos' question and individual lending. I understand you do not have a target mix, but individuals now represents over 40% coming from 35% last year. Right? And you are continuing this shift due to higher growth in individual right now. And you also mentioned in the report cost of risk deterioration in Compartamos Mexico this quarter was driven by loan growth of course, but also by a mix change. Right? So if you continue to shift towards individual lending, what further implication we are having in cost of risk in the short to medium-term?

A

Okay. Thank you. Well, it's not that we're shifting from – from group lending to individual. It's different segments. You need – we always need to remember that group lending is, it's more for the very base of the pyramid that have different business activities that may have different business activities in the day, in the week or during the year. An individual lending is focused on a more stable, permanent business activity, so it's a different client base. Some of the group lending clients that make their businesses grow – move to the individual lending, but there are different segments.

So what – it's important for us is to serve the needs of those different segments and different customers. So it's not shifting. But you're right. The – the size of – of the – of the loan, the – the demand that exists there that we didn't cover before, it's still large. And that needs will be evolving. Now to the specific cost of risk of each product, we both have different cost of risks and they have different pricing. And what we feel comfortable is that both in their specific P&Ls have positive margins. So – so I don't know if that answer your question or Enrique wants.

A

I just want to compliment. I mean, the typical cost of risk in an individual lending in Mexico is moving around 15%, one, five. And that's a normal cost of risk. And the typical cost of risk in the – in the group lending methodology is moving around 10%, which is normal cost of risk. Also depending on the blend, you could change.

Q

So it is fair to assume that if individual lending now represents more of your portfolio in Mexico, cost of risk should be pressured, right?

A

Yes. No. Let me tell you something. We get – we guided 13% for this year assuming that change in the mix. But what have – what it's a new a new tool and that it's very important. And we're sure it will bring us additional efficiency and a productivity and also better control of asset quality. It's the digitalization. The digitalization, we just – in this quarter we finalized the national launching of the digital tools for individual lending.

So – so – so there are a lot of benefits from that in the business case. So maybe this will be – that – that – we expect that this improvement will be permanent. And then we will tell you in February what is our expectation for cost of risk for this year. But at this point you could keep it between 12.5% and 13% if you want. We will provide a specifics on that on – on February.

Q

Very clear. Thank you.

Operator: Thank you. There are no further questions at this time. I would like to hand the floor back over to management for closing comments.

Unverified Participant

Well, again, thank you for your presence at this call. We really, really appreciate your interest and support to continue generating not only economic value, but also social and human value for customers, employee and of course for shareholders. So thank you for your support. I want also to recognize once again to each one of our employees in GENTERA. You know, from our loan officers to our top management and – and board members. All the results that we are showing today is the result of the hard work, the commitment that – that the – that they have.

And it has been crucial to keep growing and adding value to our customers. So thank you. And finally, I want to confirm you that we have a promising second semester ahead. And we are committed with our customers and all our stakeholders to continue generating total value. So thank you so much and have a nice rest of the day.

Operator: With this concludes the conference of today. You may now disconnect.

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